

University Institute of Management Sciences
PMAS-Arid Agriculture University, Rawalpindi



Project Proposal
For
The Impact of Gaza Palestine War on MENA Countries

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1. Introduction and Background

Overview:

Our research topic is how the Gaza Palestine war affecting the stock market and investor portfolio of the MENA countries which include Syria, Iran, Egypt, Saudi Arab. As Gaza Palestine war is the sore issue which not only effecting their financial situation but also affecting the financial and economical condition of their surrounding areas.

Purpose:

Our purpose of research is to see that at what intensity the Gaza Palestine war impact the stock market of MENA countries and guide the investor regarding diversify his portfolio

Background:

The Gaza–Israel conflict is a localized part of the Israeli–Palestinian conflict beginning in 1948, when 200,000 Palestinians fled or were expelled from their homes, settling in the Gaza Strip as refugees. Since then, Israel has fought 15 wars against the Gaza Strip.

2. Problem Statement

This investigation is conducted to capture the effect of Gaza Palestine war on the MENA countries which include Syria , Saudi Arabia , Egypt and Iraq as they are the countries which bordered with Palestine and are effecting financially and economically due to the war .In a boarder sense this study is going to identify the impact of Gaza war on stock price and how it cause the stock price pattern to change and impact to the investor portfolio .As it is sore subject and little work has been done in this regard , there for research in this specific area in necessary for both local and foreign investors in this market

3. Research Objectives / Questions

Research objective:

- To check the impact of Gaza Palestine war on the stock market of MENA countries

Research Question:

What is Gaza Palestine war impact the stock market of MENA countries

4. Preliminary Literature Review

Theoretical Background:

Theoretical support for this study has been derived from a major finance theory i.e., Efficient market proposed by 1960 based on the assumption that capital markets are efficient and securities reflect all

available information. According to the efficient market theory, prices of securities adjust on the arrival of new information. Based on information adjustment there are three type of market efficiency which are the weak form of efficiency. In the weak form of efficiency price reflect the effect of all historical information. In the semi strong form of efficiency major concern related to information adjustment which is publicly available information such stock split and dividend announcement, etc.

In the last strong form of efficiency which is the third and last form of efficiency based on the efficient market model and in this form of efficiency security prices reflect the information of historical data, publicly available information, and insider information

So because the market are efficient there is no change because of the new information as the market adjust automatically according to the new information so the spillover information between the Gaza war new and its impact on the volatility in the market exist which lead toward adjustment of prices according to new information

Literature Review:

Equity market is one of the important Ingredients of this system. Sufficient affirmation is available About positive impact of stock market developments on Economic growth (Levine and Zervos 1996; Levine, 2002; Nieuwerburgh et al., 2006; Enisan and Olufisayo 2009). These markets react negatively or positively based on the occasion of any event. The negative and positive event increase the volatility in the stock market. The occasion of the negative event such as war financial crises impact the decision making of the investor due to the increase in volatility and increase in the financial risk. Some investor also prefers to quit the stock market due to the Volatility. Volatility is an Important input for taking decisions about diversification In portfolio and hedging plans (Hameed and Ashraf, 2006).

The World War II (1939-1945) is the worldwide event occur in twentieth century and the turning point in U.S. and world history. The financial crises that start in 2007 of the subprime mortgages. The developing countries financial market mainly the stock market is affected negatively. This crisis badly affected FDI, Portfolio investment and exports of the developing Countries (Iqbal, 2010). Like other sectors, world's stock Markets also affected by this storm and faced steep Declining trend from the first month of 2008 (Usman, 2010).

Oosterlinck's 2003 compares the after war to pre-war bonds. The paper finds that the price of Vichy bonds was significantly lower than pre-war bonds, indicating a high risk of default.

Bradford & David-Robison (1997), Gu et al. (2021), Guidolin & La Ferrara (2010), and Hudson & Urquhart (2015) find that wars and political risk increase the uncertainty which leads to decrease in the prices of stock.

5. Research Methodology

To carry out our investigation, we will gather data from Nwesty.com and the variables we are using in this

research are "stock prices and Gaza Israel War news". We will gather data in this research from October 7, 2023 to March 29, 2024. We will utilize EViews for data analysis, a software called EViews provides strong analytical tools in an adaptable user-friendly interface. The few Mena countries we are selecting in this research are Syria, Saudi Arabia, Egypt and Iraq. The data we are using in this research are quantitative and secondary data. The Econometric model used are stock prices = $\alpha + \beta (D \text{ war}) + c$. And the last technique we are using in this research are GRANCH Model.

6. Timeline

Weeks	Task
Week 8-9	Proposal writing
Week 10	Data file preparation
Week 11	Introduction
Week 12	Literature review
Week 14	Data analysis
Week 15	Finalizing and checking
Week 16	Submission

7. References

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Evaluation Page

Evaluator 1 Comments:

Date & Signatures

Evaluator 2 Comments:

Date & Signatures

Project Coordinator Comments

Date & Signature